

Johnson Service Group plc (LSE:JSG)

Credit assessment – Altman Z 2.90 · Merton distance to default 6.1σ · 62% EBITDA headroom to covenant

Independent credit analysis · September 2026 · Raahul Ravichandran · Not investment advice

SUMMARY

JSG carries 1.13x net leverage against a 3.0x covenant and 20.8x interest cover against a 4.0x minimum. EBITDA would have to fall 62% before the leverage covenant binds and 81% before the cover covenant does. On a structural basis the company sits 6.1 standard deviations from default, which produces a one-year probability of default indistinguishable from zero.

Two models disagree about how comfortable that is, and the disagreement is the finding. The Altman Z-score places JSG in the grey zone at 2.90, just below the 2.99 safe threshold, while the Merton model sees no meaningful default risk at all.

ALTMAN Z-SCORE

Working capital / total assets	0.083 × 1.2
Retained earnings / total assets	0.364 × 1.4
EBIT / total assets	0.112 × 3.3
Market equity / total liabilities	1.653 × 0.6
Revenue / total assets	0.924 × 1.0
Z-score	2.90 grey zone (1.81 to 2.99)

FY2025 balance sheet: £579.5m total assets, £304.4m total liabilities, £210.9m retained earnings, £65.0m EBIT, £535.4m revenue, and £503.1m market capitalisation at the 133p close on 11 September 2026.

MERTON STRUCTURAL MODEL

Asset value and asset volatility were solved jointly from the observed equity value and equity volatility, treating equity as a call option on the firm with the debt face value as the strike. Equity volatility of 29.1% was estimated from two years of daily returns.

Equity value	£503.1m	Asset value (solved)	£684.0m
Equity volatility	29.1%	Asset volatility (solved)	21.4%
Debt face value	£188.6m	Distance to default	6.11σ
Risk-free rate / horizon	4.2% / 1yr	One-year probability of default	~0 bp

A one-year PD of zero is not a usable estimate. It is what a structural model produces at this level of leverage: asset value would have to fall 72% within twelve months to reach the default barrier, and a lognormal diffusion with no jump component assigns that almost no weight. The number describes the distance, not a forecast.

EXPECTED LOSS

Exposure at default	£188.6m	Loss given default	45%
PD – Merton	~0%	Expected loss – Merton	~£0m
PD – BB benchmark	1.0%	Expected loss – BB benchmark	£0.85m

Because the structural PD is unusable, expected loss is also shown against a 1.0% benchmark PD, roughly a BB rating. That is deliberately punitive for a business at 1.13x leverage and gives £0.85m of expected loss on £188.6m of exposure. LGD of 45% is the standard senior unsecured assumption.

COVENANT HEADROOM

Net leverage (net debt / EBITDA)	1.13x	covenant maximum 3.0x
Headroom	1.87x	
Interest cover (EBITDA / interest)	20.84x	covenant minimum 4.0x
Headroom	16.84x	
EBITDA at leverage breach	£62.9m	a 62% decline
EBITDA at cover breach	£32.0m	an 81% decline

For context, FY2020 EBITDA fell roughly 55% when hospitality closed entirely. A repeat of the worst trading conditions in the company's recent history would not breach either covenant.

WHY THE TWO MODELS DISAGREE

The Z-score is penalised by asset intensity, not by credit weakness. Two of its five terms, EBIT over total assets and revenue over total assets, reward asset turnover. JSG runs £535.4m of revenue against £579.5m of total assets, a turnover of 0.92x, because a textile rental business owns the linen and garments it rents. An asset-light services company with identical leverage and cover would score higher on both terms and clear the safe threshold.

The Merton model has the opposite blind spot: it sees only the equity cushion and is indifferent to how the assets earn, so at this leverage it cannot find risk anywhere. The covenant analysis is the test that actually binds, because it uses the lender's own definitions rather than a general-purpose score. It says EBITDA can halve twice over before either covenant is threatened. The credit is strong; the Z-score is measuring capital intensity and calling it risk.

Method: Altman Z-score on the public-company coefficients, and a Merton structural model solved by minimising squared error on the equity value and equity volatility conditions simultaneously. Inputs from Capital IQ filings FY2021 to FY2025 and a two-year daily price history to 11 September 2026. Simplifications: single zero-coupon debt maturity at one year, no jump component, LGD assumed rather than recovery-modelled, covenant definitions from the FY2025 annual report.